PURPOSE CAPITAL
Guiding Capital with Purpose

POLICY · RISK

Risk Management Policy

Version **0.9** DRAFT

Owner	Head of Compliance and Internal Control (RCCI)
Next review	12 months after adoption
Confidentiality	Internal

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Purpose Capital S.A.
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APPROVAL WORKFLOW

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Drafting	Compliance Officer	Pending	Date and signature
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Adoption by the Board of Directors	Chairman of the Board of Directors	Pending	Date and signature

REVISION HISTORY

Version	Date	Purpose	By
0.9	20 October 2026	Formatting: adoption dates and signatures moved to the document control sheet	Compliance Officer
0.9	19 October 2026	Initial draft submitted to the Board of Directors	Compliance Officer

REFERENCE TEXTS

COSUMAF General Regulation of 23 May 2023 Official text · cosumaf.org	Risk-based approach and risk map submitted to COSUMAF before 31 March with the annual internal control report (Art. 5); prudential standards set by COSUMAF (Art. 11); risk management function subject to a professional card (Art. 13); minimum share capital of brokerage firms
Regulation No. 01/22/CEMAC/UMAC/CM/COSUMAF of 21 July 2022 Official page · cosumaf.org	Organisation and obligations of intermediaries on the regional financial market
OHADA Uniform Act on Commercial Companies and Economic Interest Groups (AUSCGIE) Official page · ohada.org	Equity below half of the share capital; liability of the board of directors
IOSCO — Objectives and Principles of Securities Regulation Official text · iosco.org	International good practice: capital, internal control and risk management of market intermediaries
Basel Committee — Revisions to the Principles for the Sound Management of Operational Risk (2021) Official text · bis.org	International good practice: principles for the sound management of operational risk and for operational resilience
ISO 31000 — Risk management — Guidelines	International good practice: approach to identifying, assessing and treating risks

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Title I — General provisions

Article 1 — Purpose

This policy sets out how Purpose Capital S.A. (the "Company") identifies, measures, limits and monitors the risks arising from its activities. It has three aims: to protect clients and their assets, to preserve the Company's financial soundness and its licence, and to enable the Board of Directors and Executive Management to take decisions in full knowledge of the risks.

Article 2 — Legal basis

The policy meets the requirements of the COSUMAF General Regulation of 23 May 2023, which requires a risk-based approach and a risk map that is updated regularly and submitted each year to COSUMAF before 31 March, together with the annual internal control report.

It draws on international good practice, adapted to the size of the Company: the IOSCO (OICV) principles applicable to market intermediaries (capital, internal control, risk management), the Basel Committee principles for the sound management of operational risk, and the approach of the ISO 31000 standard.

Article 3 — Scope

The policy covers all the Company's activities, current and future: dealing on behalf of clients, account keeping and custody, placement and arrangement, distribution of collective investment schemes, advice, and management of the Company's own cash. It applies to all Staff Members, to directors and, by contract, to service providers.

Article 4 — Definitions

- **Risk**: the possibility that an event prevents the Company from achieving its objectives or causes the Company, or its clients, a financial loss, a sanction or damage to its reputation.
- **Gross risk**: the level of risk before taking control measures into account. **Net risk**: the level of risk after taking those measures into account.
- **Risk appetite**: the level and nature of the risks that the Company is willing to take in order to achieve its objectives.
- **Limit**: a quantified threshold, set by the Board of Directors or Executive Management, that an indicator must not exceed.
- **Alert threshold**: a level, short of the limit, that triggers notification and action before the limit is reached.
- **Incident**: an event that caused, or could have caused, a loss, an error, an interruption or a breach.
- **Own funds**: share capital, reserves and retained earnings, plus or minus the result for the current financial year.

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Title II — Principles and appetite

Article 5 — Principles

1. **Clients first**: no risk is taken with clients' cash and securities.
2. **No proprietary speculation**: the Company earns its living from its commissions, not from betting on the markets.
3. **Zero tolerance** for breaches of regulations, of anti-money laundering rules and of the Code of Conduct.
4. **Financial prudence**: the Company maintains at all times sufficient own funds and cash to withstand an adverse scenario.
5. **Proportionality**: the framework is adapted to the size of the Company; it is strengthened each time its activities develop.
6. **Everyone is responsible** for the risks of his or her activity; the risk management function supports, measures and controls, but does not replace operational managers.

Article 6 — Risk appetite statement

Each year, the Board of Directors approves the risk appetite statement and the table of limits (Appendix “Risk appetite and limits”). Any activity that would lead to a limit being exceeded requires the Board's prior approval.

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Title III — Organisation

Article 7 — Three lines of defence

Line	Who	Role
First line	Operational departments: sales, capital markets, operations, accounting	Identify and control the risks of their activity; apply procedures and first-level controls (four-eyes checks, reconciliations); report incidents
Second line	Risk management function and compliance function, performed by the RCCI	Defines the methodology; maintains the risk map and the incident register; measures indicators; monitors compliance with limits; alerts Executive Management and the Board
Third line	Annual independent review by an external service provider; statutory auditors for financial reporting	Assesses the effectiveness of the framework as a whole and reports to the Board of Directors

Given the size of the Company, the risk management, compliance and internal control functions are entrusted to the same person. The compensating measures provided for in Article 10 of the Conflicts of Interest Management Policy apply, in particular the annual independent review.

Article 8 — Roles of governing bodies

Body or function	Responsibilities
Board of Directors	Approves the policy, the risk appetite statement, the limits and the risk map; examines the risk dashboard each quarter; decides on measures in the event of a serious breach of limits
Audit and Risk Committee (if established)	Prepares the Board's decisions; hears the RCCI and the independent review provider without Executive Management being present at least once a year
Chief Executive Officer	Implements the policy; allocates resources; chairs the risk committee; reports to the Board; informs COSUMAF where regulations so require
Internal risk committee	Brings together the Chief Executive Officer, the RCCI and the heads of department each month; examines indicators, incidents, limit breaches and action plans
RCCI, risk management function	Article 7; unrestricted access to information; right of direct alert to the Chairman of the Board of Directors
Staff Members	Apply procedures; report any incident or new risk without delay

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Title IV — Risk management process

Article 9 — Identification and assessment

The RCCI maintains the Company's risk map together with the operational departments. Each risk is described by its cause, its effect, its owner and the existing control measures. It is rated for probability and impact according to the grid in Appendix “Risk map”, before and after taking control measures into account.

The risk map is updated at least once a year and whenever a significant event occurs: a new activity, a serious incident, a regulatory change, or the recruitment or departure of a key person. It is approved by the Board of Directors and submitted to COSUMAF before 31 March together with the annual internal control report.

Article 10 — Treatment

For each net risk assessed as high or critical, the risk owner proposes one of the following responses, with a dated action plan:

- **avoid**: abandon the activity or transaction;
- **reduce**: strengthen controls, procedures, tools or training;
- **transfer**: insurance, contractual clause, guarantee;
- **accept**: only within the limits of the risk appetite and with the written approval of the Chief Executive Officer, or of the Board for a critical risk.

Article 11 — New products and new activities

No new product, service, distribution channel, market or material service provider is launched without a prior risk analysis using the form in Appendix “New product approval”. The analysis covers financial, operational, legal, non-compliance, money laundering and conflict-of-interest risks. The decision lies with the Chief Executive Officer after a written opinion from the RCCI, and with the Board of Directors where the activity requires an amendment to the programme of activities approved by COSUMAF.

Article 12 — Stress scenarios

Once a year, the RCCI measures the effect on own funds and cash of plausible adverse scenarios, as a minimum: the loss of the main revenue-generating mandate or client; the failure of the bank holding the largest share of the Company's cash; a major execution error; a cyberattack making systems unavailable for five days; an unplaced firm underwriting, if the Company engages in such business. The results and the resulting measures are presented to the Board of Directors.

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Title V — Risks by category

Article 13 — Solvency and own funds

Risk: that the Company's own funds fall below the regulatory minimum of FCFA 300,000,000, which would call its licence into question. With capital of FCFA 317,500,000, the margin is narrow, especially during the first financial years, when costs may exceed revenues.

Measures:

- own funds are calculated each month on the basis of the accounting position;
- an **alert threshold** is set at FCFA 300,000,000 plus three months of fixed costs; if it is crossed, the Board of Directors is informed within 5 business days, together with a recovery plan (cost reduction, search for revenue, contribution from shareholders);
- if the regulatory minimum is breached, Executive Management informs the Board and COSUMAF without delay, and the Board convenes the shareholders to restore own funds;
- any unbudgeted expenditure or commitment exceeding 5% of own funds requires the Board's approval.

Article 14 — Liquidity

Risk: that the Company is unable to pay its costs or meet its commitments when they fall due.

Measures:

- available own cash covers at all times at least six months of fixed costs;
- it is invested solely in deposits with banks licensed in the CEMAC and in CEMAC government securities with a residual maturity of no more than two years;
- client funds are never used for the Company's own needs;
- a twelve-month cash plan is kept by the accounting department and reviewed each month by the risk committee.

Article 15 — Counterparty and settlement

Risk: that a client, a bank or a counterparty fails to pay or to deliver securities on the scheduled date.

Measures:

- no order is transmitted without prior cover in cash (purchase) or in securities (sale); the Company grants neither credit nor overdrafts to its clients;
- settlement of listed securities takes place through the Central Securities Depository, on a delivery-versus-payment basis;
- the Company's own cash is spread across at least two banks, none holding more than 60% of the total;
- any settlement fail not resolved within two business days is referred to the risk committee.

Article 16 — Market

Risk: loss arising from changes in the prices of securities held for the Company's own account.

Measures:

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- the Company does not hold a speculative trading book;
- the only securities held for its own account are the cash investments referred to in Article 14;
- any firm underwriting or standby underwriting commitment is governed by a separate agreement (Firm Underwriting and Standby Underwriting Agreement); the total commitment in this respect may not exceed 25% of own funds without the prior approval of the Board of Directors, and each commitment is subject to a non-placement scenario.

Article 17 — Safekeeping of client assets

Risk: loss, misuse or commingling of clients' securities and cash.

Measures:

- strict segregation of client assets from the Company's assets, in the books and in the accounts opened with the Central Securities Depository, banks and primary dealers in government securities (spécialistes en valeurs du Trésor);
- where clients' securities are held in an omnibus account opened in the Company's name on behalf of its clients, the Company keeps each client's position and reconciles movements every business day, and positions every month, against the statements of the keeper of the omnibus account;
- any reconciliation difference is analysed on the same day and, if it is not explained within two business days, reported as an incident;
- agreements with account keepers provide for the protection of client assets in the event of the failure of the Company or of the account keeper.

Article 18 — Operational risk

Risk: loss resulting from inadequate procedures, human error, system failures, fraud or external events.

Measures:

- written procedures for each key process; four-eyes checks on sensitive operations (payments, orders outside the standard procedure, creation and modification of client data, system parameters);
- segregation between the entry and the validation of payments; two signatures for any payment above the threshold set by Executive Management;
- reporting and analysis of all incidents (Title VI);
- **key persons**: each critical function has a designated and trained deputy; access rights and procedures are documented so that no activity depends on a single person;
- professional indemnity and fraud insurance, the adequacy of which is reviewed each year.

Article 19 — Information systems and cybersecurity

Risk: unavailability, loss or disclosure of data, intrusion, computer fraud, failure of the IT service provider.

Minimum requirements, pending the Information Systems Security Policy: multi-factor authentication for all accounts, including those of service providers; named administrator accounts and one protected emergency account; daily backups, including one offline copy, tested each quarter; updating of workstations and software; six-monthly review of access rights; phishing awareness training for Staff Members.

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Article 20 — Business continuity

Risk: interruption of services to clients as a result of a breakdown, a power or internet outage, a disaster, or the unavailability of premises or staff.

Minimum requirements, pending the business continuity plan: back-up power supply and dual internet access; ability to receive and transmit orders from a fallback site or remotely within the day; full resumption of services to clients within one business day at most; an up-to-date list of emergency contacts (BVMAC, Central Securities Depository, banks, IT service provider, COSUMAF); annual testing of the arrangements.

Article 21 — Outsourcing

Risk: failure, breach or loss of control over a service provider performing an important function (IT, hosting, accounting).

Measures: risk analysis before any contract (Appendix “New product approval”); a written contract providing for confidentiality, service quality, access to information by the Company and by COSUMAF, reversibility and exit; annual quality monitoring; the Company remains responsible for outsourced functions.

Article 22 — Non-compliance and money laundering

Risk: sanction, financial loss or reputational damage resulting from failure to comply with regulations, anti-money laundering rules or rules of professional ethics.

Measures: Code of Conduct, Anti-Money Laundering Policy (Anti-Money Laundering and Counter-Terrorist Financing Policy), Conflicts of Interest Management Policy and Best Execution Policy; monthly regulatory watch by the RCCI; compliance with deadlines for submissions to COSUMAF, late submission being penalised by daily fines.

Article 23 — Legal and contractual

Risk: loss or dispute resulting from a poorly drafted contract, an unauthorised commitment or a change in the law.

Measures: approved contract templates generated by the document repository (Arrangement and Placement Mandate Agreement et seq.); compliance with delegations of authority; review by legal counsel of any contract not based on a template; register of disputes.

Article 24 — Reputation

Risk: loss of confidence of clients, partners or the regulator.

Measures: approval of public communications (Code of Conduct, Articles 42 and 43); handling of complaints within the time limits; vigilance regarding clients and issuers whose reputation could reflect on the Company.

Article 25 — Strategy, business and environment

Risk: insufficient or overly concentrated revenues; adverse developments in the regional market or in the economic and political environment; consequences of Cameroon's inclusion on the FATF (GAFI) list of jurisdictions under increased monitoring for relations with banks and foreign partners.

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Measures: annual budget approved by the Board and monitored monthly; monitoring of the share of revenues generated by the largest client and by the three largest clients; diversification of activities; annual review of strategy in the light of the risk map.

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Title VI — Monitoring, incidents and reporting

Article 26 — Indicators and limits

The RCCI monitors the key risk indicators in Appendix “Key risk indicators”. Each has an owner, a measurement frequency and three zones: green (normal), amber (alert threshold crossed) and red (limit exceeded).

Article 27 — Escalation

Situation	Time limit	Who is informed	Action
Indicator in the amber zone	2 business days	Chief Executive Officer	Analysis and action plan presented to the next risk committee
Indicator in the red zone or limit exceeded	24 hours	Chief Executive Officer, then Chairman of the Board of Directors within 5 business days	Plan to return below the limit; Board decision if necessary
Own funds below the regulatory minimum	Without delay	Board of Directors and COSUMAF	Article 13
Significant incident	24 hours	Chief Executive Officer and Chairman of the Board of Directors	Article 28

Article 28 — Incidents

Every Staff Member reports an incident to the RCCI within 24 hours using the form in Appendix “Incident report form”, including where it was narrowly avoided or corrected without loss. The RCCI records it in the incident register, analyses its cause and follows up the action plan.

An incident is **significant** where it causes or may cause a loss exceeding FCFA 1,000,000, affects a client, constitutes a regulatory breach, interrupts a service for more than half a day or compromises data. It is brought to the attention of the Chairman of the Board of Directors and, where regulations so require, of COSUMAF.

Article 29 — Reporting

- **Each month**: dashboard of indicators, incidents and action plans, examined by the risk committee.
- **Each quarter**: dashboard presented to the Board of Directors.
- **Each year**: report on risk management, updated risk map and results of the stress scenarios, approved by the Board, then submitted to COSUMAF before 31 March together with the annual internal control report.

Article 30 — Training and risk culture

Each Staff Member is trained in this policy on joining and every year thereafter. The reporting of incidents is encouraged: a Staff Member who reports in good faith an error he or she has made is not sanctioned for that report; only concealment constitutes misconduct.

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Title VII — Final provisions

Article 31 — Review and entry into force

The policy, the risk appetite statement and the limits are reviewed at least once a year, and whenever there is a significant change in activities, regulations or the risk profile. Any amendment is approved by the Board of Directors.

This policy enters into force on the date of its adoption by the Board of Directors, as indicated in the document control sheet.

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